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**Revision Date:**
03/01/2025

**Background:**
CalFresh households (HHs) that report their benefits have been electronically stolen may be eligible to receive replacement benefits.

**Purpose:**
This section is being updated due to electronic theft policy changes that were implemented in December 2023.

**Policy:**
Electronic theft occurs when a CalFresh HH has their benefits electronically stolen from their account while they have their Electronic Benefit Transfer (EBT) card in their possession. There are two types of electronic theft, skimming and scamming. In both cases, the HH's benefits are stolen by creating a counterfeit EBT card or by manually entering the card number on a keypad connected to the point-of-sale device to conduct a transaction without the use of the physical card. The following are descriptions of the two types of electronic theft:

| Theft Type | Definition |
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| Skimming | The use of electronic equipment to capture an EBT card's number and Personal Identification Number (PIN) without the cardholder's knowledge. |
| Scamming | Deceiving or misleading an EBT cardholder to unwittingly give out their card number and PIN. Common forms of scamming include text messaging and phone calls. |

When electronic theft is reported by a HH the EBT card must be deactivated immediately and a replacement card issued. To request replacement benefits, a Report of Electronic Theft of Benefits (EBT 2259) must be submitted. Deny any request for replacement benefits that does not meet either definition of electronic theft. Document in the case record detailed information relating to the request for replacement benefits and the outcome of the request.

**Note**: Supplemental Nutrition Benefits (SNB) and Transitional Nutrition Benefits (TNB) are not eligible for replacement due to electronic theft.

1. Reporting Timeframe and Methods
HHs have 90 days from the date the theft occurred to submit a completed EBT 2259. If the EBT 2259 is received more than 90 days from the date the theft occurred, the request for replacement benefits must be denied.

A completed EBT 2259 may be submitted in any of the following ways:
- In person at a Family Resource Center (FRC).
- Online through BenefitsCal.
- By mail.
- Fax to the Document Processing Center (DPC) at (619) 236-9167.
- E-mail to the DPC at DPC.HHSA@sdcounty.ca.gov.

- By calling Access at 1-866-262-9881 to complete an EBT 2259 over the phone using telephonic signature.

Process the EBT 2259 and issue replacement benefits upon receipt, but no later than 10 days of receiving the completed form.

2. Countable Replacements

A countable replacement refers to each overall electronic theft sequence reported by a HH, regardless of the number of specific transactions that were involved. A series of transactions listed on one EBT 2259 will be considered one countable replacement. The report may include transactions within and outside the 90-day reporting timeframe. In such circumstances, only the transactions reported within 90 days of the theft may be replaced.

| **Example:** | |
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| Scenario | HH submits an EBT 2259 on March 10, 2024, and reports the following skimming transactions:<br>• January 22, 2024, for $50.<br>• January 23, 2024, for $100.<br>• January 24, 2024, for $60.<br>• January 26, 2024, for $80.<br>• February 2, 2024, for $150.<br>• February 3, 2024, for $40. |
| Outcome | This reported sequence of transactions is considered one countable replacement. |

A HH may only receive two countable replacements each Federal Fiscal Year (FFY). A FFY starts October 1 and ends September 30. Review the case prior to processing the EBT 2259 to determine how many countable replacements have already been issued in the current FFY. If two countable replacements have already been issued, deny the request for replacement benefits.

HHs may receive up to two months' worth of food benefits for each countable replacement. The maximum amount that can be replaced for each countable replacement is two times the amount of benefits that were issued directly prior to the first theft transaction reported on the EBT 2259 or the amount of benefits electronically stolen, whichever is less.

| **Example:** | |
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| Scenario | HH receives their monthly CalFresh benefits of $400 on January 8, 2024. On February 10, 2024, they submit an EBT 2259 reporting the following skimming transactions:<br>• January 10, 2024, for $250.<br>• January 11, 2024, for $100.<br>• January 11, 2024, for $260.<br>• January 12, 2024, for $80.<br><br>In total the HH reported $690 in benefits were skimmed. |
| Outcome | The HH would be issued $690 in replacement benefits. The maximum amount of replacement benefits the HH could get is $800 ($400 x 2). Since the amount of |

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| | benefits electronically stolen was less than $800 we would issue replacement benefits for the lesser amount. |

**Note**: Replacement of benefits due to a HH misfortune is not considered a countable replacement. For more information on replacement benefits due to HH misfortune refer to CalFresh Program Guide 63-509 Replacement Benefits.

3. Referrals to the Bureau of Public Assistance Investigations (BPAI)
A referral to BPAI must be made when any of the following occur:

- A public allegation or report of fraud is made.
- There is reason to suspect that fraud exists or has been attempted based on the information reported on the EBT 2259, presented in the case record, or knowledge of electronic theft patterns.

A request for replacement benefits may be delayed up to 25 calendar days from the date the EBT 2259 was received while awaiting a response from BPAI.

| If BPAI determines… | then… |
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| within the 25 days that the claim is fraudulent, | deny the replacement request. |
| within the 25 days that the claim is **not** fraudulent, | issue replacement benefits as soon as possible but no later than the 25th day. |
| a referral will not be completed within 25 days, | issue replacement benefits as soon as possible but no later than the 25th day. |
| the claim is fraudulent after the 25th day and replacement benefits have been issued, | establish an overissuance for the amount replaced. |

4. Notices of Action (NOA)
Once the EBT 2259 has been processed a NOA must be issued to the HH informing them of the approval or denial of replacement benefits. The following NOAs should be issued depending on the outcome of the request:

- EBT Replacement Approval NOA (WI 10072A).
- EBT Replacement Denial NOA (M44-350K).

**References:**
All County Letter (ACL) 21-133, 23-92, 24-62.

**Sunset Date:**
This policy will be reviewed for continuance by 02/29/2028.

**Approval for Release:**

3-10-25

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Self-Sufficiency Services